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Limitation on Business Interest Expense Under Section 163(j)

Attach to your tax return.

Go to www.irs.gov/Form8990 for instructions and the latest information.

OMB No. 1545-0123

Attachment
Sequence No. **990**

Taxpayer name(s) shown on tax return

Identification number

A If Form 8990 relates to an information return for a foreign entity (for example, Form 5471), enter:

Name of foreign entity _____

Employer identification number, if any _____

Reference ID number _____

B Is the foreign entity a CFC group member? See instructions ☐ **Yes** ☐ **No**

C Is this Form 8990 filed by the specified group parent for an entire CFC group? See instructions ☐ **Yes** ☐ **No**

D Has a CFC or a CFC group made a safe harbor election? If "Yes," see instructions for which lines of Form 8990 to complete ☐ **Yes** ☐ **No**

Part I Computation of Allowable Business Interest Expense

Part I is completed by all taxpayers subject to section 163(j). Schedule A and Schedule B need to be completed before Part I when the taxpayer is a partner or shareholder of a pass-through entity subject to section 163(j).

Section I—Business Interest Expense Before the Section 163(j) Limitation

1	Current-year otherwise deductible business interest expense (not including amounts reported on line 2 or line 5). See instructions	1	
2	Current-year otherwise capitalizable business interest expense (not including interest capitalized under sections 263(g) and 263A(f)). See instructions	2	
3	Disallowed business interest expense carryforwards from prior years (does not apply to a partnership)	3	
4	Partner's excess business interest expense treated as paid or accrued in current year (Schedule A, line 48, column (h))	4	
5	Floor plan financing interest expense. See instructions	5	
6	Total business interest expense before section 163(j) limitation. Add lines 1 through 5	6	

Section II—Adjusted Taxable Income

Tentative Taxable Income

7	Tentative taxable income. See instructions	7	
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Additions (adjustments to be made if amounts are taken into account on line 7)

8	Any item of loss or deduction that is not properly allocable to a trade or business of the taxpayer. See instructions	8	
9	Any business interest expense not from a pass-through entity. See instructions	9	
10	Amount of any net operating loss deduction under section 172	10	
11	Amount of any qualified business income deduction allowed under section 199A	11	
12	Deduction allowable for depreciation, amortization, or depletion attributable to a trade or business. See instructions	12	
13	Amount of any loss or deduction items from a pass-through entity. See instructions	13	
14	Other additions. See instructions	14	
15	Total current-year partner's excess taxable income (Schedule A, line 48, column (f))	15	
16	Total current-year S corporation shareholder's excess taxable income (Schedule B, line 50, column (c))	16	
17	Total. Add lines 8 through 16	17	

Reductions (adjustments to be made if amounts are taken into account on line 7)

18	Any item of income or gain that is not properly allocable to a trade or business of the taxpayer. See instructions	18	()
19	Any business interest income not from a pass-through entity. See instructions	19	()
20	Amount of any income or gain items from a pass-through entity. See instructions	20	()
21	Any amount included in gross income under sections 951(a), 951A(a), and 78 (net of associated deductions). See instructions	21	()
22	Other reductions. See instructions	22	()
23	Total. Combine lines 18 through 22	23	()
24	Adjusted taxable income. Combine lines 7, 17, and 23. See instructions	24	

For Paperwork Reduction Act Notice, see separate instructions.

Cat. No. 37814C

Form **8990** (Rev. 12-2026) Created 8/25/26

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Section III—Business Interest Income

25	Current-year business interest income. See instructions	25	
26	Excess business interest income from pass-through entities (total of Schedule A, line 48, column (g), and Schedule B, line 50, column (d))	26	
27	Total. Add lines 25 and 26	27	

Section IV—163(j) Limitation Calculations**Limitation on Business Interest Expense**

28	Multiply the adjusted taxable income from line 24 by 30% (0.30). See instructions	28	
29	Business interest income (line 27)	29	
30	Floor plan financing interest expense (line 5)	30	
31	Total business interest expense limitation under section 163(j). Add lines 28, 29, and 30	31	

Business Interest Expense Deduction

32	Allowable business interest expense. Enter the lesser of line 31 or line 6	32	
33	Capitalized interest portion of line 32. Enter the lesser of line 2 or line 32	33	
34	Total current-year business interest expense deduction. Subtract line 33 from line 32. See instructions	34	

Carryforward

35	Disallowed business interest expense. Subtract line 32 from line 6. (If zero or less, enter -0-.)	35	
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Part II Partnership Pass-Through Items

Part II is only completed by a partnership that is subject to section 163(j). The partnership items below are allocated to the partners and are not carried forward by the partnership. See the instructions for more information.

Excess Business Interest Expense

36	Excess business interest expense. Enter amount from line 35	36	
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Excess Taxable Income (If you entered an amount on line 36, skip lines 37 through 41.)

37	Subtract the sum of lines 5 and 27 from line 6. (If zero or less, enter -0-.)	37	
38	Subtract line 37 from line 28. (If zero or less, enter -0-.)	38	
39	Divide line 38 by line 28. Enter the result as a decimal. (If line 28 is zero, enter -0-.)	39	
40	Excess taxable income. Multiply line 39 by line 24	40	

Excess Business Interest Income

41	Excess business interest income. Subtract the sum of lines 1, 2, 3, and 4 from line 27. (If zero or less, enter -0-.)	41	
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Part III S Corporation Pass-Through Items

Part III is only completed by S corporations that are subject to section 163(j). The S corporation items below are allocated to the shareholders. See the instructions for more information.

Excess Taxable Income

42	Subtract the sum of lines 5 and 27 from line 6. (If zero or less, enter -0-.)	42	
43	Subtract line 42 from line 28. (If zero or less, enter -0-.)	43	
44	Divide line 43 by line 28. Enter the result as a decimal. (If line 28 is zero, enter -0-.)	44	
45	Excess taxable income. Multiply line 44 by line 24	45	

Excess Business Interest Income

46	Excess business interest income. Subtract the sum of lines 1, 2, 3, and 4 from line 27. (If zero or less, enter -0-.)	46	
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SCHEDULE A Summary of Partner's Section 163(j) Excess Items

Any taxpayer that owns an interest in a partnership subject to section 163(j) should complete Schedule A before completing Part I.

(a) Name of partnership	(b) EIN	Excess business interest expense			(f) Current-year excess taxable income	(g) Current-year excess business interest income	(h) Excess business interest expense treated as paid or accrued (see instructions)	(i) Current-year excess business interest expense carryforward (see instructions)
		(c) Current year (see instructions)	(d) Prior-year carryforward (see instructions)	(e) Total ((c) plus (d))				
47								
48 Total								

SCHEDULE B Summary of S Corporation Shareholder's Excess Taxable Income and Excess Business Interest Income

Any taxpayer that is required to complete Part I and is a shareholder in an S corporation that has excess taxable income or excess business interest income should complete Schedule B before completing Part I.

(a) Name of S corporation	(b) EIN	(c) Current-year excess taxable income	(d) Current-year excess business interest income
49			
50 Total			